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# CRYPTO GAINS SOME CURRENCY

After months of doubt, cryptocurrencies finally made their way into Budget 2022, inviting mixed reactions. India has recently seen a considerable surge in crypto adoption, making it a global leader in this area. However, there are still many grey areas investors should be aware of.

The government has defined a new asset category—'virtual digital assets'—which includes cryptocurrencies and non-fungible tokens (NFTs). There are two key implications of this. Firstly, by not defining cryptocurrencies separately, the Centre has not considered their merits as currencies, which was actually the primary reason tokens like Bitcoin were created. The government has made it quite clear that it does not want to give cryptocurrencies a standing on par with the Indian rupee. The second is that the definition of virtual digital assets is so broad that it can include tokens, coins, reward points, credit card points, fungible tokens, etc. For example, Cred is famous for incentivising users by giving them Cred coins. Going by the government's definition, these could also be categorised as virtual digital assets.

The government has also decided to levy a 30 per cent tax on all virtual digital asset transactions, whether short-term or long-term in nature. Additionally, it has clarified that losses incurred on cryptocurrencies cannot be offset against profits from any other asset or business. Generally, if you are a regular stock market trader, you can offset losses on one share against profits on another. As a professional trader, you can offset market losses against profits in any other business you own. The government has closed the doors on such accounting with cryptocurrencies, and individuals are expected to bear incurred losses, without even the option of carrying them forward. This, along with the high tax rate, is enough to discourage some investors.

Another hindering factor is the one per cent TDS (tax deducted at source) that will be levied on all transactions—even if you are just transferring assets from one wallet to another, you will bear an added cost. A key characteristic of digital assets is that transactions are free and efficient, but with TDS, people will think twice about transacting. Taxation may deter smaller investors from getting on the crypto bandwagon, while providing some clarity to others. There is also a possibility that people will find ways to dodge the tax, creating further problems.

**THOUGH TRADING IS NOW BEING TAXED, CRYPTOCURRENCIES HAVE NOT YET BEEN LEGALISED. THIS WILL BE TAKEN UP IN THE PROPOSED CRYPTO BILL**

The cheer from a large section of the public came from the idea that taxing cryptocurrencies implied a legalisation of the asset. There is no crypto bill as yet that either legitimises or criminalises cryptocurrencies, but that does not take away the government's right to impose taxes. In fact, the Supreme Court has, in the past, allowed the government to tax illegal income. In her post-budget interactions with the media, Finance Minister Nirmala Sitharaman said clearly that the taxation of virtual assets did not in any way mean they had been legalised. The issue of legality will be dealt with in the proposed cryptocurrency bill. Referring to the RBI (Reserve Bank of India), she said that a currency can be issued only by the central bank, even if it is a cryptocurrency. Privately issued tokens, even if they are referred to as currencies, do not qualify. She made it clear that since buying and selling was already taking place and since profits were being made in cryptocurrencies, nothing stopped her from taxing them.

The final major announcement by the government was that the RBI would introduce a digital currency based on blockchain technology. The motivation for a digital currency issued by the RBI has not been made clear as yet, and such a currency may not add much value in the Indian ecosystem, for two reasons. Firstly, if the currency is centralised and controlled by the RBI, it cannot be called a cryptocurrency. The hallmark of cryptocurrencies is that they are decentralised and cannot be controlled by any one party. The RBI's proposal is in direct contradiction to this. Secondly, if the purpose of a digital currency is to offer the option of digital payments, then launching a new currency is not needed—that is already being done through the Unified Payments Interface (UPI) and propagated by the likes of Paytm, Google Pay, PhonePe, etc. Therefore, a lot of clarity still needs to emerge on India's own digital currency. ■

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